

Image 3.4 – Bharti Airtel Daily Chart

If you look at the daily chart of Bharti Airtel (image 3.4), there was a previous swing high formed at 448 level, and also a few days before the swing high, it displayed a big sell-off from level 460.

So, the price action between 448 and 460 is crucial, and it is vital for the price to close above 460 (without much selling for bulls to remain in the trade).

Now the price displayed a strong open on 28-Oct-2020. But it did not last more than 15 mins (observe image 3.3), and the strong sellers took over from there. Do you think if you knew this earlier, you were in a better position to manage your day trades?

Every swing high, swing low, strong sell-off, or strong buy-off point plays a crucial role in intraday trading, by acting as either support or resistance.

So, if you are an intraday trader, it is better to watch out for these levels and the price action at these levels when the price comes close to these levels.

Look At Day's High & Day's Low For Trading Wisdom

Most day traders ignore the importance of day's high and day's low for trading the next day. But on many trading days, the previous day high (PDH) and the previous day low (PDL) play a crucial role. I have seen many successful intraday traders who just take trades with respect to PDH, PDL, and price action today.